INCREASING AOV AT ZEPTO · ASSIGNMENT

Zepto: Growing Basket Size Without Losing Frequency

Zepto gets ordered from more often than any competitor in India, and earns less on every order. This assignment is about closing that gap honestly.

CURRENT	TARGET	CONSTRAINT	PREPARED BY
₹388	₹480	Frequency	Varun Kumar
average order value	in six months	must not fall	Product Manager

Research → Blockers → Solutions → RICE

My task: grow the basket, protect the habit

As the PM responsible for basket size at Zepto, my goal is to raise **Average Order Value from ₹388 to ₹480** in six months, without reducing order frequency.

WHAT I SEE IN USER BEHAVIOUR

Small, urgency-driven orders
Open, grab one thing, check out

Stop at the free-delivery threshold
The threshold becomes the finish line

Reorder familiar items
No exploration of new categories

₹388

AOV, flat for 3 years: lowest of the big players

10–20%

of a ₹388 basket goes on delivery (₹40–80)

₹78.75

EBITDA loss per order in FY26

Adjusted EBITDA loss ÷ Total orders

₹5,041.6 crore ÷ 64.02 crore orders = ₹78.75 loss per order

RULES I FOLLOWED

- Order frequency must not fall
- No higher minimum order value; small orders stay welcome
- No reliance on discounts or delivery thresholds
- No dark patterns, timers or hard-to-remove items

01 Research & Segmentation
02 Blockers & Core Problem
03 Solutions to Increase AOV
04 Prioritization with RICE

VARUN KUMAR

Users fill small baskets fast, then stop

Primary survey · 10 Zepto users · directional sample

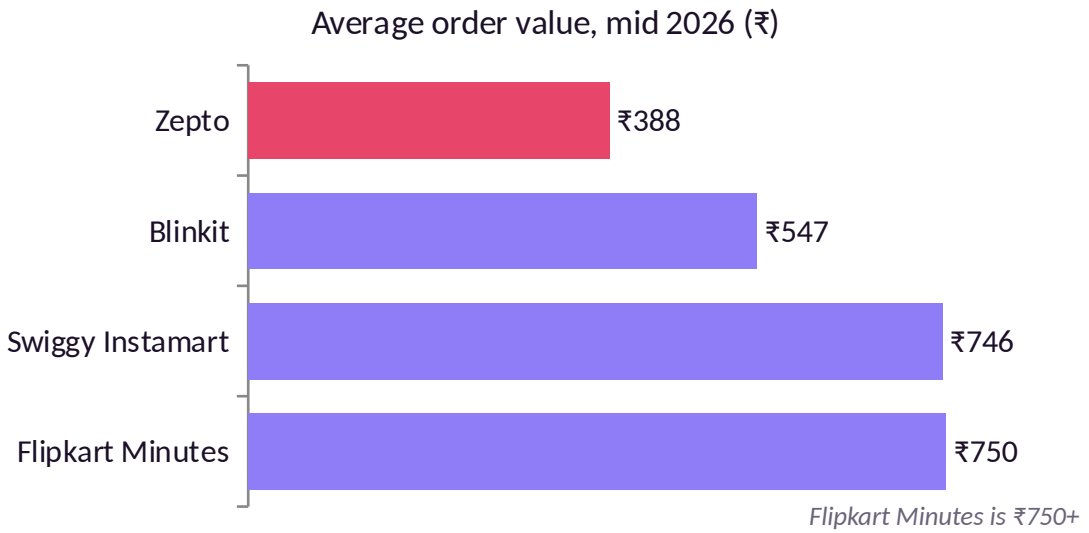
90%
of baskets fall in the ₹200–499 band

60%
of orders contain only 1–3 items

70%
stop adding once free delivery is reached

0%
actively explore new categories

50% would add an item if the suggestion fits their cart. They respond to relevance, not discounts.

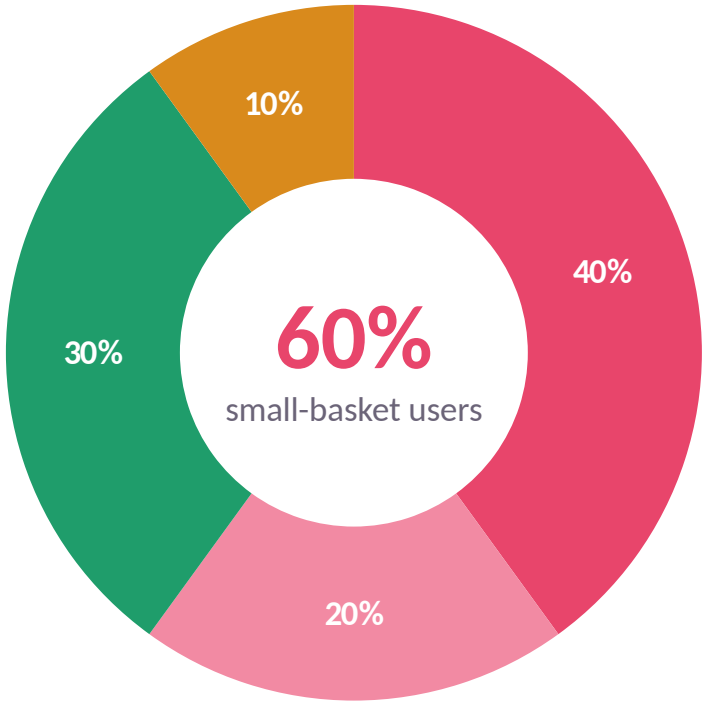


Flipkart Minutes is ₹750+

MARKET DATA MATCHES MY SURVEY

Quick commerce is built for top-up, not stock-up	→ 60% order just 1–3 items
~58% of shoppers add items only to cross delivery thresholds	→ 70% stop at free delivery
Instamart lifted AOV by dropping low spenders	→ Closed to Zepto: hurts frequency

Four ways people shop, and 60% cap the basket



Urgency Grabbers
LOW AOV — 40%

Ran out, search, checkout in minutes. No browsing; reorder familiar items.

Impulse Snackers
LOW AOV — 20%

Late-night cravings. Small baskets, but react to relevant prompts.

Planned Top-Uppers
HEALTHY — 30%

Routine restock across categories, 4–7 items. The behaviour to grow.

Deal-Driven
MINOR — 10%

Open the app for offers. Smallest group, low discount dependence.

WHERE THE OPENING IS

They don't browse, so discovery never happens, and free delivery works as a ceiling. But Planned Top-Uppers prove bigger baskets already happen in the same app, and these users respond to useful nudges, not discounts.

Basket building stops at three points

Open app
Knows the one item

Search
Literal results only

Add item
Target in cart

Cart
Generic bestsellers

Threshold
Free delivery = done

Pay
~2 min order

01

PSYCHOLOGICAL

Free delivery is a finish line

The goal becomes "unlock free delivery," not "complete my shop." 70% stop there.

02

STRUCTURAL

Cross-sell isn't contextual

Cart pushes site-wide bestsellers, not what pairs with this cart.

03

EXPERIENTIAL

Literal search, no bundles

"Tortilla chips" never surfaces salsa or dip; the context is lost.

04

BEHAVIOURAL

Single-mission urgency

60% buy 1–3 items. One item in cart = mission complete.

Don't want more
Need just 1–2 items. Keep checkout fast; never make them feel penalised.

Want more, but don't add it
Would buy the matching item if shown at the right moment. This is the AOV opportunity.

Two problems, one question

PS1 · THE COMPLETED-MISSION CEILING

Blockers 1 + 4

USERS CURRENTLY

treat Zepto as a single-item tool and stop when the need, or free delivery, is met

BECAUSE

the experience rewards fast search-and-checkout over discovery

WHICH RESULTS IN

baskets capped just above the threshold

PS2 · THE MISSING PAIRING ENGINE

Blockers 2 + 3

USERS CURRENTLY

add only the item they came for, with no relevant companions shown

BECAUSE

search and cart suggest by popularity, not by what pairs with this cart

WHICH RESULTS IN

missed pairings that would lift items and AOV

REFINED PROBLEM STATEMENT

Zepto has the strongest order frequency and the weakest basket. AOV has sat near ₹388 for three years while rivals sit at ₹547–750+. **The barrier isn't price or intent: the app is built to finish a mission fast, and never shows what naturally goes with the cart.**

₹388 → ₹480 in 6 months, with order frequency flat or rising

Can a customer who already trusts Zepto several times a week be helped to buy more in one visit, without being pushed into it?

Zepto's greatest strength is its biggest revenue blocker

OPERATIONAL NORTH STAR
Extreme speed

→

PRODUCT ARCHITECTURE
Surgical search & quick checkout

→

USER PSYCHOLOGY
The "errand runner" mindset

→

CONSEQUENCE
Free delivery = mission accomplished

A · THE FINANCIAL CEILING

W1	Stop after crossing the threshold: avoiding a fee, not shopping
W2	Cart is gamified around a number to reach
W3	Cross-sell ranks by popularity, not cart intent
W4	Catalogue data built for dark stores, not behaviour

B · THE BEHAVIOURAL CEILING

W1	Buy 1–3 items and leave once the target is in cart
W2	Search and landing pages are dead ends
W3	Search is a literal index; detours seen as drop-off risk
W4	Success measured on speed; basket size never a target

SHARED ROOT **The product is engineered, in its data and metrics, for fast retrieval, not basket building.**

THE FREQUENCY TRADE-OFF

- ✗ Higher minimums or thresholds
- ✗ Discouraging small orders
- ✗ Timers and pre-ticked add-ons

- ✓ Relevance to this cart
- ✓ Discovery at the right moment
- ✓ Brand-funded value

Three fixes at the three moments baskets stall

1 · SEARCH & BROWSE

AI Shopkeeper

Shop by goal: "pizza night for 4" builds an editable cart in one tap. Catches missed pairings at checkout, and uses past orders helpfully ("your usual bread?")

AOV LIFT

8–12 item contextual basket

MANIPULATION LINE

Only cart-relevant picks, sponsored items labelled, quiet after 2 skips

Solves PS2 · blockers 2 + 3

2 · BEFORE PAYMENT (₹200+)

Smart Deal Shelf

A short shelf of cart-matched deals just above "Pay," always skippable. Deep cuts are brand-funded samples; only light markdowns on Zepto staples

AOV LIFT

+₹40–100 per order

MANIPULATION LINE

No countdown timer: removed from v1 to avoid false urgency

Solves PS1 · blocker 1

3 · AFTER THE THRESHOLD

Zepto Surprise Box

One-tap ₹49 / ₹99 curated box worth more than its price, never the same twice. Brands pay for sampling, so it is margin-neutral for Zepto

AOV LIFT

+₹49–99 per order

MANIPULATION LINE

Price and value shown upfront, never pre-added, one-tap remove

Solves PS1 · discovery gap

Ship the quick win first, then build the bet

Solution	Reach	Impact	Confidence	Effort	RICE
Zepto Surprise Box	**9**	**5**	**7**	**3**	**105**
Smart Deal Shelf	8	6	8	5	77
AI Shopkeeper	9	9	5	9	45

RICE = (Reach × Impact × Confidence) ÷ Effort, each scored 1–10

WHY THE SURPRISE BOX WINS NOW

- Lowest effort: no new infrastructure
- Margin-safe: brand-funded
- Proves the thesis in weeks
- Shopkeeper last: needs a pairing catalogue first

NOW · MONTHS 0–2
Zepto Surprise Box
Prove post-threshold discovery

NEXT · MONTHS 2–4
Smart Deal Shelf
Add cart-matched deals before pay

LATER · MONTHS 4–6
AI Shopkeeper
Build pairing catalogue, then ship

NORTH STAR **AOV ₹388 → ₹480 in 6 months** with orders per active customer flat or rising

PART 4 · MEASURING SUCCESS

Grow the basket, with guardrails on the habit

GROWTH KPIs

- Attach rate per feature
- Items per order
- New categories per customer
- Share of customers with a bigger basket
- Incremental margin per order

GUARDRAILS

- Orders per active customer
- Time to checkout under 2 min
- Session-to-order drop-off
- Remove rate and cancellations
- Churn among low spenders

ROLLOUT

Launch each feature to a 5% cohort in one city. Scale only if AOV rises and every guardrail holds. If frequency dips, pause and roll back.

Help customers finish the shop they came for, not push them into more.

Thank you · Varun Kumar